SUPREME COURT OF INDIA

APPELLATE JURISDICTION · THREE-JUDGE BENCH

Criminal Appeal No. 963 of 2010

CNR: SCIN010009632010

Date: 03 May, 2010

Citation: (2010) 5 SCC 663

CORAM: Hon'ble K.G. Balakrishnan, C.J., P. Sathasivam, J.M. Panchal, JJ.

Petitioner: Damodar S. Prabhu

- VERSUS -

Respondent: Sayed Babalal H.

DOMAIN: NEGOTIABLE INSTRUMENTS & COMMERCIAL OFFENCES **STATUS: Good Law (Binding Commercial Precedent)**

JUDICIAL RATIO DECIDENDI & OPERATIVE HOLDING:

Offences under Section 138 of the Negotiable Instruments Act are primarily of a civil nature clad in criminal disguise. Section 147 is an enabling provision providing for compounding without requiring leave of court, subject to graded deterrent costs.

STATUTES APPLIED: Section 138 NI Act, Section 147 NI Act, Section 320 CrPC

DISPOSITION: GUIDELINES ON GRADED COSTS FOR COMPOUNDING PRESCRIBED

EXECUTIVE RATIO SUMMARY:

Three-judge bench laid down graded cost guidelines for compounding offences under Section 138 NI Act: 10% costs if compounded at Sessions/High Court, 15% at Supreme Court, to encourage early settlement at trial stage.

LEXGUARD CRYPTOGRAPHIC VERIFICATION SEAL · SECTION 65B ADMISSIBLE

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